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NCBA

NCBA Kenya Q1'25 Earnings Note

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NCBA Group Q1'25 Earnings Note

May 28th, 2025

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 56.25
52-week low:	KES 28.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-3.3%	6.2%	28.6%	30.0%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 54.30	KES 58.15

Summary

- **NCBA Group slightly outperformed in-house estimates in Q1'25, posting a modest 3.4% y/y growth in net earnings to KES 5.48Bn.** This performance was primarily driven by a 20.6% y/y increase in net interest income, as the bank benefited from a 35.9% y/y drop in deposit expenses—largely attributed to declining customer deposits, which eased pressure on deposit mobilization costs. Net interest margin expanded 10bps to 5.8%, reflecting enhanced reinvestment income, with yields on interest-earning assets rising faster than the cost of funds. Meanwhile, trailing return on equity declined by 270 bps to 20.5%, while trailing return on assets held steady at 3.3%.

Key Highlights

- **Mixed core banking performance:** Net interest income grew by 20.6% y/y to KES 9.97Bn, primarily driven by a sharp reduction in interest expenses, which helped offset a 10.1% y/y decline in interest income. The drop in deposits, which we attribute to investors shifting towards alternative, higher-yielding investments, contributed to the lower interest expense. Conversely, non-funded income declined by 4.5% y/y to KES 7.36Bn, largely due to a significant 49.6% y/y drop in foreign exchange trading income—a trend consistent across the industry as reduced exchange rate volatility continues to compress trading margins. Overall, operating income posted a solid 8.5% y/y increase, with the strong growth in net interest income more than compensating for the dip in non-funded income. The average yield on interest-earning assets rose by 60 basis points to 12.8%, outpacing the 50bps increase in the cost of funds to 7.0%, resulting in a 10bps expansion in net interest margin to 5.8%.
- **Asset quality under pressure:** Gross Non-Performing Loans (NPLs) declined by 594 bps y/y to KES 37.84Bn. However, the contraction in the overall loan book led to a 50bps y/y rise in the gross NPL ratio to 12.6%. In response, management intensified its risk management measures, reflected in a 720bps y/y increase in NPL coverage to 63.0%. Additionally, the bank maintained a cautious approach to credit risk, raising loan loss provisions by 20.3% y/y to KES 1.62 Bn.

Balance Sheet Dynamics

Customer deposits declined by 9.6% y/y to KES 495.67Bn, while the loan book also contracted by 10.4% y/y to KES 287.02Bn. This decline is attributed to the bank's more cautious lending strategy in response to heightened credit default risks in the market. In line with this prudent approach, management increased its allocation to government securities by 4.6% y/y to KES 222.26Bn, aiming to leverage the attractive yields offered by these lower-risk instruments compared to private sector lending under current conditions. Additionally, through strategic portfolio rebalancing, the bank capitalized on the easing monetary policy environment, recording fair value gains of KES 1.39Bn.

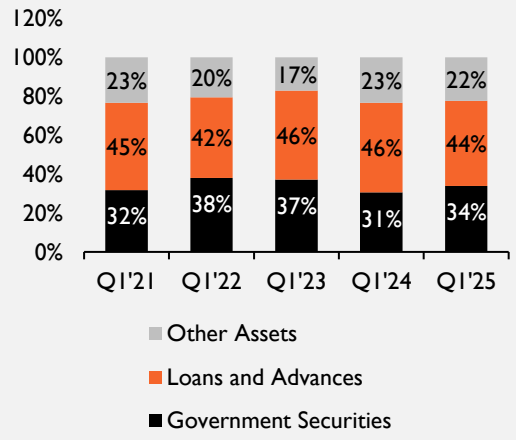
Outlook

Looking ahead, we expect interest income to decline as lending rates adjust downward in line with the overall drop in interest rates. However, due to the nature of monetary policy transmission under the risk-based pricing framework, the cost of funds may decline at a faster pace than yields on interest-earning assets, potentially keeping net interest margins relatively stable in the medium term. That said, with industry-wide NPLs on the rise, we anticipate management will maintain a cautious lending approach, which could further constrain growth in interest income. On the other hand, the bank is likely to continue increasing its exposure to government securities. Although yields have started to ease, the pace of decline has moderated due to increased domestic borrowing, presenting an opportunity for the bank to earn attractive, low-risk returns that support overall revenue growth. Additionally, the commencement of operations by NCBA Insurance, the group's bancassurance arm, provides a new and diversified revenue stream that could further enhance topline performance going forward.

Recommendation

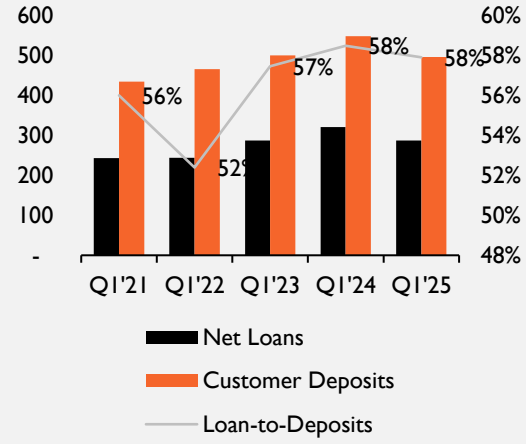
- **We maintain our *BUY* recommendation on NCBA Group underpinned by the promising growth trajectory.** At the current market price, the stock is trading at P/E ratio of 4.1x and a P/B ratio of 0.8x. Our one-year target price for NCBA Group currently stands at KES 58.15 - representing a c.7.1% upside potential from current levels.

Chart 2: Asset Composition



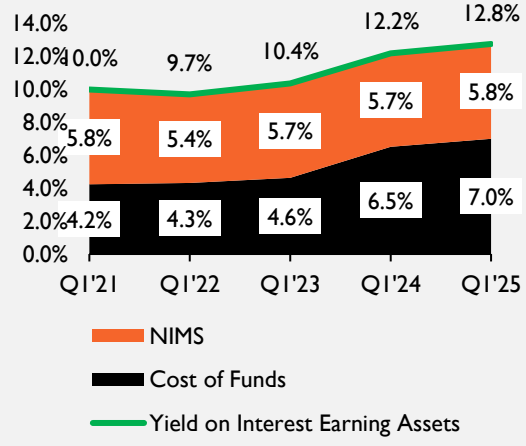
Source: Company filings, AIB-AXYS Research.

Chart 3: Slowing Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Stable Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y Change
Net Interest Income	6.59	7.09	8.37	8.27	9.97	▲ 20.6%
Non-Interest Income	5.24	6.06	7.18	7.71	7.36	▼ (4.5%)
Total Operating income	11.83	13.15	15.55	15.98	17.33	▲ 8.5%
Provision for Impairment	(2.64)	(2.53)	(1.95)	(1.35)	(1.62)	▲ 20.3%
Total Operating expenses	(7.77)	(8.12)	(9.15)	(9.44)	(10.50)	▲ 11.3%
Profit before tax	3.87	4.85	6.39	6.54	6.83	▲ 4.5%
Profit after tax	2.84	3.41	5.07	5.30	5.48	▲ 3.4%
Core EPS Annualized	6.88	8.28	12.30	12.87	13.31	▲ 3.4%

Balance Sheet (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y Change
Government Securities	172.57	223.16	234.32	212.57	222.26	▲ 4.6%
Loans and Advances	243.14	243.90	287.15	320.51	287.02	▼ (10.4%)
Total Assets	**542.11**	**587.38**	**628.83**	**694.87**	**655.97**	▼ (5.6%)
Customer Deposits	434.21	465.54	499.74	548.07	495.67	▼ (9.6%)
Total Liabilities	467.50	507.07	540.92	596.10	539.65	▼ (9.5%)
Shareholder's Funds	**74.41**	**80.18**	**87.91**	**98.78**	**116.34**	▲ 17.8%

Ratio Analysis	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y Change
Spreads Analysis						
Yield on Assets	10.0%	9.7%	10.4%	12.2%	12.8%	▲ 0.6%
Cost of Funds	4.2%	4.3%	4.6%	6.5%	7.0%	▲ 0.5%
Net Interest Margin	5.8%	5.4%	5.7%	5.7%	5.8%	▲ 0.1%
ROaE	8.1%	14.0%	18.4%	23.2%	20.5%	▼ (2.7%)
ROaA	1.1%	1.9%	2.5%	3.3%	3.3%	▼ (0.0%)
Profit Margin	24.0%	25.9%	32.6%	33.2%	31.6%	▼ (1.6%)
Operating Efficiency						
Cost to Income Less LLP	43.3%	42.5%	46.3%	50.6%	51.2%	▲ 0.6%
Cost to Assets Less LLP	0.9%	1.0%	1.1%	1.2%	1.4%	▲ 0.2%
Loan to Deposit	56.0%	52.4%	57.5%	58.5%	57.9%	▼ (0.6%)
Asset Quality						
Gross NPL Ratio	15.1%	16.8%	13.3%	12.1%	12.6%	▲ 0.5%
NPL Coverage	65.0%	72.6%	56.3%	55.7%	63.0%	▲ 7.2%
Cost of Risk	1.1%	1.0%	0.7%	0.4%	0.6%	▲ 0.1%
Capital Adequacy						
Core Capital/TRWA	18.2%	18.0%	17.7%	18.5%	21.5%	▲ 3.1%
Total Capital /TRWA	18.3%	18.0%	17.8%	18.6%	21.6%	▲ 3.1%
Liquidity	58.7%	55.1%	55.1%	52.9%	55.8%	▲ 2.9%

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